

In [Figure 15.1](#), a decline is exactly what happens. Price rounds over and starts heading down. Sometimes the decline is orderly, and sometimes it is choppy. In nearly all cases, price returns to the trendline. Once there, the stock may do several things.

Dual bumps. Fairly often price bumps up again, and that is called a BARR with a dual bump or a dual BARR. Occasionally, a dual BARR consists of several bumps, but the result is still the same. Price eventually falls below the trendline.

Downhill run. Sometimes price slides up along the trendline for a month or so before continuing down. At other times, price drops straight through the trendline, turns around and climbs again, before ultimately dropping. In a few rare cases, price descends from the bump high and never makes it back to the trendline before moving higher. These cases commonly appear on weekly or monthly price charts. If price fails to close below the trendline, then the BARR pattern is invalid.

Breakout direction, confirmation. The breakout from this pattern is downward by definition. If price doesn't breakout downward, then it isn't a valid BARR top.

Focus on Failures

In the weekly chart shown in [Figure 15.2](#), the first BARR on the left shows high volume during the initial stages of the bump, as you would expect. The bump height to lead-in height ratio looks good (over 2:1), and clearly investor enthusiasm is high. However, price continues climbing instead of rounding over and heading down. The pattern is not a valid BARR.

Contrast the failed BARR with the one in the center. The middle BARR has a nicely rounded appearance. The volume pattern is what you would expect: high at the start, at the start of the bump, and when price crosses the trendline. However, price drops below the trendline by just 4%. Any stock recovering after dropping no more than 5% below the breakout price is called a 5% failure.

The BARR on the right is a dual BARR. Price nears the trendline in late March 1994 (but remains above it in this case, so it's a flawed example of a dual BARR), and then just as quickly climbs again, forming a second peak